

Economic Consequences of the 1MDB Scandal in Malaysia

An empirical review of sovereign fund mismanagement, currency pressure, and public debt

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English Composition II

Fall 2022

Taylor's University

28 November 2022

I wrote an in-depth research paper on the 1MDB sovereign fund scandal, focusing on its economic impact on Malaysia rather than the political. I traced how mispriced bonds, embezzled funds, and money laundering translated into currency depreciation, capital outflows, and rising public debt. I used secondary macroeconomic data and content analysis of media coverage to connect financial flows to changes in GDP growth, inflation, and investor sentiment.

Table of Contents

1.0 Proposal.....	3
2.0 Acknowledgement	4
3.0 Abstract.....	5
4.0 Introduction.....	6
5.0 Literature review	8
6.0 Methodology	11
7.0 Findings.....	13
7.1 Unethical practices in IMDB scandal.....	13
7.1.1 Embezzlement	13
7.1.2 Bribery.....	16
7.1.3 Money Laundering	17
7.1.4 False Declaration and Bond Mispricing.....	18
8.0 Analysis.....	20
9.0 Conclusion	25
REFERENCES	28

1.0 Proposal

My interest in this topic actually began outside politics, when I watched *The Wolf of Wall Street* and later discovered that Jho Low, one of the main figures behind Malaysia's 1MDB scandal, had worked with the same bank that took Stratton Oakmont public. Realizing that the movie was loosely connected to real financial crimes involving Malaysia made me want to understand what really happened in the 1MDB case and how it affected the country's economy.

This paper is my attempt to bring together what I have researched and learned, with a specific focus on the economic consequences rather than the political. However, there are some limitations placed on this research. I intend to write this paper fully based on articles and previous findings and not from the opinions of random sample of population as it is still a sensitive political issue in Malaysia. A quantitative research approach will be used to write this research paper.

2.0 Acknowledgement

I would like to thank my lecturer Ms Neeta for supporting my choice of topic and allow me to do writing in so. She had given a lot of guidance and support throughout this research. I would like to thank her for her commitment on making sure we students understand the process of writing a research paper. She had guided me even off hours of university in order for me to succeed in completing the paper and I will forever be thankful for that. I would like to also acknowledge my friends who gave me support by sharing their opinions on the topic that I had chosen that helped me write this paper and my classmates for guiding me on writing this paper.

3.0 Abstract

In 2015, the former Prime Minister of Malaysia, Najib Razak, was accused of corruption, embezzlement, and fraud of over \$700 million USD. Low Taek Jho, the former financier of Malaysia, was also accused and dubbed the ‘mastermind’ of the 1MDB scandal. As one of the world’s largest financial scandals, this paper seeks to explore the economic implications of 1MDB through historical context and the aftermath of the scandal on its nation.

Specifically, this will examine the financial fraud and corruption committed by the government and other parties/organization. It will also examine the effects of this corruption on country’s debt, GDP, and the livelihood of the nation.

4.0 Introduction

1MDB stands for the 1Malaysia Development Berhad. In April 2013, a media statement was released stating ‘1MDB is Government-owned and supported but driven by private sector thinking and practices. It strives to fulfil the aspiration of the Government with the agility of the private sector. Bonds raised are part of capital for the strategic initiatives it undertakes’ (KiniBiz, 2013).

1MDB began as the Terengganu Investment Authority (TIA), launched by the Chief Minister of the State of Terengganu, Ahmad Said, in 2008. It was set up as a holding and investment company for the State and was funded initially by a bond issue of RM5 billion. Later in 2009 when Najib Razak became the prime minister, TIA was nationalised ‘for its benefits to be felt across Malaysia’, focusing on strategic investment in energy, real estate, tourism, and agribusiness. It was wholly owned by the Malaysian Government through the Ministry of Finance Inc in which Najib Razak chaired the Board of Advisors (Steiner, 2017). To further its objectives, 1MDB developed a network of joint ventures with two subsidiaries of the Saudi Arabian company Petro Saudi International (PSI) and also an Abu Dhabi company, Aabar Investments PJSC, a subsidiary of the International Petroleum Investment Company (IPIC). As many of the JVs and subsidiaries of 1MDB were registered in other countries, it was difficult to trace illicit flows of money between them (Gabriel, 2018).

To understand the category this government-owned company would fall into, Lodin Wok Kamaruddin, chairman of the board of directors of the 1MDB, said in his press release in December 2014 (P Gunasegaram, 2014):

Contrary to claims, 1MDB is not a sovereign wealth fund but rather a strategic development company. In practice, this translates into a company that is independently run and funded, but one whose investment decisions are driven by the interests of the national

economy. Whilst a sovereign wealth fund and a strategic development company may not sound very different, there is an important distinction between the two: whereas a sovereign wealth fund is directly funded by the government and invests on its behalf, 1MDB raises and invest its own capital.

1MDB had several sources of funding. The initial source was the funds of TIA, mainly derived from a conventional bond issue, transferred to 1MDB on its formation in 2009. The second source of funding was Islamic bonds for a medium term in 2009, and a short-term note issued in 2014. The third source of funding was three conventional bond issues in 2012 and 2013 which raised US\$6.5 billion from the local and international bond markets. Goldman Sachs played a central role in arranging and underwriting these bond issues, charging above the market rate of 7.7 per cent of the securities (Adam et al., 2018). Also relevant was the loan of RM4 billion (US\$954 million) provided by the Malaysian Government in 2011 from the country's civil service pension fund, and raised by the 1MDB subsidiary, SRC International (Team, 2016). Together with other loans, the sum total of the borrowing by 1MDB in 2015 was RM41.9 billion (US\$10 billion) including RM8.2 billion (US\$1.96 billion) of inherited loans from companies it took over (Boey, 2015).

In a few years 1MDB amassed an impressive portfolio of about sixteen power and desalination plants and high-profile real estate developments in downtown Kuala Lumpur. The initial commercial success, in particular from September 2009 to March 2010 when 1MDB allegedly made a profit of RM425 million, was met with suspicion given its inexperience and the lack of transparency in its financial dealings (Sipalan, 2010). Questions concerning 1MDB's finances had been raised prior to the breaking of the scandal in 2015. Police reports were lodged against 1MDB, and requests were made for the Public Accounts Committee (PAC) to investigate, or even request foreign agencies to start investigations, as early as 2014.

5.0 Literature review

In 2015, 1MDB and its financial dealings took centre stage in national and international news coverage with numerous allegations being made regarding the mismanagement of funds. The 'house of cards' came crumbling down when 1MDB was facing numerous financial problems. In early 2015, 1MDB was close to missing a payment on a RM2 billion loan to Maybank and RHB Capital after several extensions (Ng and Hookway, 2015). Still, the funds to repay the loan were put together by billionaire T. Ananda Krishnan and 1MDB eventually repaid that loan in April 2016 (Malaysiakini, 2016).

Insiders involved in a widespread "pump and loot" scheme in which 1MDB was leveraged to raise money. Vast sums were borrowed via government-backed bonds, then siphoned abroad: The Justice Department says that more than US\$4.5 billion was pilfered from 2009 through 2015. As the filings describe in detail, the money went to buy luxury real estate in Manhattan and Beverly Hills; paintings by Monet and Van Gogh; a chunk of one of the world's biggest music-publishing companies; a \$35 million Bombardier Global 5000 business jet; a \$260 million superyacht called Equanimity; and \$8 million in jewels bestowed as gifts upon Australian supermodel Miranda Kerr. In addition, an estimated \$85 million went to pay for Las Vegas gambling debts, while tens of millions more were sunk into a movie-production company co-owned by the prime minister's stepson, Riza Aziz. Ironically, he used the money to make *The Wolf of Wall Street*, the 2013 hit film featuring Leonardo DiCaprio about financial criminality.

The conduits for the diversion of funds included regional financial centres such as Singapore; secretive shell companies in the British Virgin Islands, the Caymans, Curaçao, and the Seychelles; and large international banks such as RBS, Deutsche Bank, Citibank, JP Morgan Chase, Standard Chartered Bank, and UBS, among others. The 1MDB crisis highlights in bright red the ongoing cooperation of the global banking system in assisting

kleptocratic developing-world regimes to convert illicit riches into assets held overseas in enormous scales.

The swindle reflects the blatant cover-up of criminality within Malaysia, with domestic investigators compromised by intimidation, manipulative personnel moves, and a conspicuous lack of official curiosity about tons of missing money. Over a period of years, the state-backed 1MDB was allowed to pile up billions of dollars' worth of debt through bond mispricing, overpayment for assets, the creation of phony "strategic partnerships" with shady foreign concerns such as PetroSaudi Inter-national (PSI), and plain fraud. Meanwhile official inquiries in Malaysia were hampered and went nowhere.

As much as a billion dollars reportedly ended up in the personal accounts of the prime minister, almost three-quarters of the misappropriated money went into the accounts of Low Taek Jho (better known as Jho Low), the ambitious, a graduate of Harrow and the University of Pennsylvania's Wharton Business School and also the 'consulter' of 1MDB who served as the scheme's prime operative. Currently he is a fugitive lastly known to be residing in Macau's gambling hub in a home belonging to a prominent Chinese Communist Party. A web of transactions linking Jho Low to 1MDB, and a host of questionable practices became public in early 2015 when a former PetroSaudi staffer leaked a trove of the company's emails. The publishers of the leaks, a website known as Sarawak Report (sarawakreport.org) and the Malaysian financial newspaper The Edge Malaysia, were hit with suspensions under Malaysia's tough media-licensing laws, but the story could not be suppressed. Major media outlets such as the Wall Street Journal were soon reporting aggressively on it, carrying articles about money passing from 1MDB to the prime minister personally.

This tale of massive corruption has shaken Malaysia to its core. There is intense public anger. On 28 July 2020, 16 months since the start of the trial, Najib Razak who is now a former prime minister was found guilty of 1MDB corruption, linked to theft of billions of

dollars. That morning, Kuala Lumpur high court judge Mohamad Nazlan Mohamad Ghazali sentenced Najib Razak to 12 years in prison and a fine of RM210 million (Ratcliffe, 2020). However, the IMDB controversy had a significant impact on Malaysia's economy as well as its reputation on a global scale. The economy took a hard fall with investors pulling funds, the stock market sliding and the currency at its lowest point against the dollar since 1998. Important foreign policy issues, such as major trade negotiations and migrant policy, have been side lined as a result of these constraints. The IMDB scandal's pre-breakout financial malfeasance and its effects on the nation's economy will be the primary focuses of this paper. The IMDB scandal's economic impact will be given priority throughout this essay because earlier organisational studies have mostly focused only on political or political + economical perspectives. The purpose of this paper is to comprehend the financial effects of this scandal on the citizens of this nation both now and in the years to come.

6.0 Methodology

A quantitative approach was used to write this paper. This is because Malaysian citizens are more aware of the political aspect of the case and not economical, at least not descriptively. In March 2015, when the scandal started to unfold, a national poll by the Merdeka Centre (2015) showed that 69% were at least not very much aware of the 1MDB affair and 75% acknowledged that they did not know very much or nothing at all about the affair (Lemière, 2016). Another data taken in 2016 shows that the age group of 21-30 were more aware of the 1MDB scandal and actively involved themselves in protest and in confronting the political parties compared to age group 31-40. This is due to the fact that all newspapers were forbidden from publishing any 1MDB-related news and social media was where most information was exchanged. The five legislations that restrict press freedom in Malaysia are the Publications and Printing Presses Act, Internal Security Act, Sedition Act, Official Secrets Act and Defamation Act (Lai F Y, 2017)

A quantitative content analysis of online news articles from few mainstream newspapers The Star, Malaysiakini, Sarawak Report, The Edge and Wall Street Journal were conducted. The quantitative content analysis revealed that only Malaysiakini framed 1MDB as a financial scandal while The Star downplayed the effect of the alleged embezzlement of 1MDB funds on the Malaysian economy. As for the crime and justice sections, The Star focused on details of the unfolding events whereas Malaysiakini highlighted suspects of the alleged embezzlement and sacking of high-ranking government officers assisting the investigation. There is a stark contrast evident in the framing of the morality dimension of 1MDB news articles with The Star presenting the government voice, whereas Malaysiakini carried the voice of the opposition leaders and religious heads. The findings indicate that The Star was more guarded in framing 1MDB news compared to Malaysiakini.

The scandal only caught the public's attention after an online exposé in Sarawak Report, an online investigative blog founded by Clare Rewcastle Brown, which published details of impropriety based on a series of leaked emails from a company that dealt with 1MDB. The scandal reached its peak when The Wall Street Journal reported that investigators had traced around 2.6 billion Malaysian Ringgit (MYR) wired into the bank accounts of Malaysia's then Prime Minister, Najib Razak. Sarawak Report also claimed to have gain access to documents, emails and listed the details of several questionable transfer of funds. Later, the same paper also exposed the Auditor-General report where US\$7 billion went missing.

Notably, these government-critical media outlets experienced different forms of 'repercussions' for their reporting. The Sarawak Report website was blocked by the Malaysian Communication and Multimedia Commission (Sarawak Report, 2016); two Malaysian newspapers, The Edge Weekly and The Edge Financial Daily, were suspended by the Ministry of Home Affairs (Henry, 2015) but later had their suspension overturned by the High Court and an Australian ABC Four Corners team was temporarily detained when they tried to question Najib (Malaysiakini, 2016). This had led the media researchers to inadvertently avoid and 1MDB related news due to the sensitivity of the issue and the consequences of writing articles on it. By September 2016, the 1MDB news coverage had decreased tremendously.

However, for this research, articles and other scholarly research on 1MDB and Malaysia's economy from 2008 until 2022 were used to evaluate the financial impact of the scandal in the past, present and the future. Multiple sources were examined to confirm that only verified material is being presented, keeping in mind the discrepancy of information in the above-mentioned news outlets.

7.0 Findings

7.1 Unethical practices in IMDB scandal

7.1.1 Embezzlement

The main malpractice in the 1MDB scandal was embezzlement on an epic scale. It involved misappropriation of its funds largely derived from borrowing, through bond and sukuk issues and bank loans. The misappropriation involved seven major embezzlements.

1. In September 2009, 1MDB signed a deal with PetroSaudi International. The deal outlined a joint venture company that would invest \$1 billion USD for a 40% stake. PetroSaudi, an oil and gas company, had assets of over \$1.5 billion (Al Jazeera, 2020). The joint venture with PetroSaudi was misleading in its portrayal as being connected to the monarchy. 1MDB secured permissions from the country's central bank to 'export' borrowed funds to PetroSaudi. According to the Sarawak Report, an online investigative journalism site, Bank Negara from 2009 to 2011 found that 1MDB diverted most of the funds to Good Star Limited, a 'third party' based in the Seychelles. Bank Negara found that the Good Star account was under Jho Low, who forwarded funds to Najib's personal bank accounts (Sarawak Report, 2015).
2. Good Star Limited is based in the Seychelles but incorporated in the Cayman Islands and it has a bank account in Zurich. A signatory is Seet Li Lin, who is Jho Low's deputy. On 25th April 2015, Sarawak Report revealed that PetroSaudi Directors had agreed to "act as front" for Jho Low and that out of a total of USD1.5 billion already invested in PetroSaudi between Sept 2009 and Sept 2010, \$860 million had been secretly siphoned into Good Star's RBS Coutts account in Zurich (Sarawak Report, 2015).

3. In March 2013, 1MDB forms a joint venture with a subsidiary of Abu Dhabi's sovereign wealth fund, Aabar Investments PJS. Through bond issues, the fund raises USD\$5.5 billion through real estate, energy markets, and the newly built Tun Razak Exchange. 1MDB additionally agreed to provide assets to guarantee the bonds; however, it pays Goldman Sachs, the underwriter of the process, an exorbitant amount (Case, 2017). The exchange for assets to Aabar Investments surprisingly never happens, and is instead diverted to a third party purposefully, and deceptively, named Aabar Investments PJS Ltd. The funds from this account are split between Najib and Aabar Investments. By 2016, after the scandal is brought to light by reports from the Sarawak Report, The Edge, and The Wall Street Journal, the Abu Dhabi government denied any connection with Aabar Investments PJS Ltd.
4. The fourth phase of the fraud came in 2013. That year, a group that included 1MDB officials diverted more than \$1.2 billion out of \$3 billion that 1MDB had raised through a third bond offering arranged by Goldman Sachs. The bond offering was supposed to be funding a joint venture between 1MDB and Abu Dhabi, but in reality, a big chunk of the money was going into another Singapore bank account held by "Eric Tan," this time acting as owner of the "Tanore Finance Corporation." Tanore had no legitimate connection to 1MDB, but the fund's executive director Casey Tang was an authorized signatory on the account. The money went to pay for more personal spending by Jho Low and other conspirators. Investigators have traced the trail of the laundered billions through a maze of bank accounts not only in Singapore and Switzerland, but also in Luxembourg and the United States.
5. In 2013 some of the loans to SRC International from the civil service pension fund, were reportedly embezzled to the benefit of an associate of Jho Low, Eric Tan Kim Loong (Aw, 2018) It is also alleged that some of the funds were diverted locally to the

accounts of Najib and former Malaysian Treasury Secretary-General, Irwan Serigar.

In March 2013, \$681 million from the Tanore account was transferred into Najib Razak's account at AmBank. (Of this, \$620 million was returned to the Tanore account in August 2013.)

6. In addition to uncovered transfers with PetroSaudi and Aabar Investments, 1MDB overpays a conglomerate in August 2012. This conglomerate, Genting Group, is a Malaysian-based energy group that runs power plants in over five countries. After this payment, the group made large donations to charities linked to Najib. By 2015, in order to cover accumulated debts, 1MDB sold Edra Global Energy, a group under the Genting Group, to China General Nuclear Power Corporation at a loss. The overpayment on 1MDB's part forced the sale of Bandar Malaysia land holdings, their only other major asset, to China Railway Engineering Corporation (Case, 2017). The last transfer that tipped the scale in exposing 1MDB is the borrowing of over USD \$1 billion from a pension fund in order to develop a hotel management school in Kuala Lumpur. The money never went to building the school, but rather, was routed to Najib's personal bank accounts in 2015 and 2016 (Sarawak Report, 2016).
7. In 2014, US\$850 million (RM3.58 billion) were embezzled from a loan of US\$1.23 billion (RM5.15 billion) to 1MDB from a syndicate of banks. This loan was to be used as a cash payment to IPIC in return for which it would act as guarantor of 1MDB debt. Again, the benefactors were Low and his associates (Wright and Hope, 2019).

Apart from being funnelled through the chain of shell companies, the embezzled funds were also routed on occasions through the accounts of Low's father (a businessman) and brother. In addition, the nominal owner of some of the shell companies was Eric Tan, who acted as a proxy for Low. From these, large amounts of money were transferred to other accounts at the instruction of Low. According to US prosecutors, more than US\$6.5

billion (RM27.34 billion) flowed from 1MDB, “through a complex web of opaque transactions and fraudulent shell companies, to finance spending sprees by corrupt officials and their associates” (Auto, 2018). The banks figuring in the Good Star Phase of the misappropriation include RBS and BSI in Singapore, Deutsche Bank in Malaysia, Am- Bank, JP Morgan Chase, and Wells Fargo. Jho Low also used an account set up by the Shearman and Sterling law firm to help him transfer his ill-gotten assets. During the Aabar-BVI phase, Jho Low used not only Swiss and Singaporean bank accounts, but also a roundabout route that involved the Bank of New York as well as Abu Dhabi’s Falcon Bank (which is owned by same entity that owns Aabar-BVI). Fraudulent wire transfers went through Standard Chartered Bank and Citibank in the United States. This plus the use of personal and family intermediaries and proxies were all designed to make it difficult to trace the final destination and ultimate use of the embezzled money.

7.1.2 Bribery

Bribery also figured in the 1MDB scandal. Bribes were offered by Goldman Sachs to and accepted by officials in 1MDB and the Malaysian Government to allow Goldman Sachs to arrange and underwrite the bond issues in 2012 and 2013 for a very high underwriting fee. It should be noted that Malaysia’s citizens, through their government, are on the hook for the \$6.5 billion in bonds arranged by Goldman Sachs, since the bonds are effectively government-guaranteed. Goldman Sachs, meanwhile, took nearly \$600 million in fees, commissions, and expenses out of the bond sales. That represents close to a tenth of the money raised, which is well above the industry norm and many times the 1 or 2 percent that Goldman Sachs typically charges for arranging such deals. In a crucial piece of evidence, Goldman Sachs’ chairman in Southeast Asia, Tim Leissner, pleaded guilty in a New York court in November 2018 and implicated others, stating:

While acting within the scope of my employment and with the intent to benefit Goldman Sachs and myself, as an employee and agent of Goldman Sachs, I entered into a conspiracy with those individuals identified in the Government's information to pay bribes and kickbacks to obtain and then retain business from 1MDB for Goldman Sachs. . . . The goal of paying bribes and kickbacks was to influence the government officials to take official action so that Goldman Sachs would receive business from 1MDB. I took part in the process of paying some of these bribes and kickbacks (The Edge Malaysia/The Edge Malaysia November 28, 2018)

Further bribes were offered to 1MDB officials in managing its accounts to facilitate the embezzlement, and also to key figures in the banks in which the embezzled money was deposited or through which it was transferred in order to ignore its illicit nature (Writer, 2018)

7.1.3 Money Laundering

Embezzlement and bribery in the 1MDB scandal led to another corrupt practice, namely, money laundering, which involved receiving or retaining money from these sources, disguising, or not investigating its origins and purpose. Those in receipt either as intermediaries or ultimate beneficiaries were thus guilty of money laundering as was any bank (or legal or financial firm) which retained the money in one of its accounts on behalf of the sender or recipient without investigating its source. This was often in violation of anti-money laundering laws in the country to where such money was transferred, and in the case of banks, in breach of their own anti-money laundering compliance requirements.

Of course, given the chain of complex transactions through which the illicit money was transferred in the 1MDB scandal, the easier it was for recipients to cover up its origins

and purpose, and the more difficult it was for the banks to undertake a proper investigation. The former CEO of 1MDB, Arul Kanda, was charged in December 2018 with tampering with the audit report on 1MDB in 2016 to eliminate evidence of corruption. But the centre of the investigation and the focus of media speculation is the role of former Prime Minister Najib. In 2018, he was charged with 21 counts of money laundering and four counts of abuse of power. In addition, apart from the main individuals involved in the scandal, enforcement action is being taken against those persons who had illicitly received money from 1MDB. For example, on 7 October 2019, 80 persons were fined US\$100 million (RM418.6 million) for receiving illicit money from 1MDB (Associated Press, 2019). As discussed, the enforcement action against the corruption at 1MDB included money laundering as one of the key offences committed by both the recipients of the money and the banks involved in the retention and transfer of the money.

7.1.4 False Declaration and Bond Mispricing

Another aspect of the 1MDB scandal was the repeated false declarations made between 2009 and 2014, which were specified in the court hearings in the US. These included false declarations by 1MDB officials to banks in Malaysia responsible for forwarding embezzled money, and to overseas banks receiving the money. There were also false declarations by the recipients or intermediaries in the transfer of the money. One of them was Jho Low. False statements were made from time to time by senior officials of 1MDB to the 1MDB Board, to the Bank Negara (Malaysian Central Bank) and to banks from which loans were acquired about the purpose of the loans and value of 1MDB assets offered as collateral (Ali, 2018, pp. 1869, 1883, 1898).

A further malpractice was the mispricing of the 1MDB bonds (setting of the interest rates well above the market rates for government-guaranteed debt) and their sale to chosen investors in a private placement. This may arguably be considered another form of corruption as the investors in the placement pool were able to reap rewards from subsequently selling the bonds (flipping) at a substantial profit because of the high interest rates attached to the bonds (Gunasegaram, 2015; Ali, 2018, pp. 1876, 1879).

8.0 Analysis

As a result of 1MDB scandal, Malaysia's economy continued to experience a significant downturn. The scandal triggered a loss of confidence among investors. In August, Minister for International Trade and Industry Mustapha Mohamed revealed that approved foreign direct investment declined by more than 40% through the first half of the year, although some of that was due to the higher base level in 2014. Investors pulled more than \$4.5 billion from Malaysian stocks and bonds in the third quarter of 2015 alone, and growth fell to 4.7%. Meanwhile, the ringgit plunged to a seventeen-year low by September, losing more than a quarter of its value in a year and retaining its record as Asia's worst-performing currency. Though it eventually did recover, that was only after interventions by the central bank, which ate into the country's foreign reserves.

The long-term uncertainty about Malaysia's economy amid the 1MDB scandal, contributed to the Najib government's rising unpopularity towards the end of the year. The Merdeka Center poll released in October found that a full 78 per cent of respondents were dissatisfied with how the government was handling the economy, compared to just 17 per cent who were (Teoh, 2015). It is likely that the emerging evidence of the 1MDB scandal had significantly decreased the level of trust, and in turn undermined support for Najib's government. The 1MDB scandal was a key issue in the campaign and certainly contributed to its defeat in the 2018 general election.

Besides that, one of the consequences of the 1MDB scandal was to make the organisation insolvent by 2016, unable to meet key debt servicing payments. With so much money embezzled, the funds remaining for investment in many projects were insufficient to meet the interest payments on all the borrowed funds. Subsequently, the Malaysian Government stepped in to pay RM6.98 billion (US\$1.66 billion) in debt servicing payments in 2016 and 2017. The payments were met from cash generated by the sale of land by the

Malaysian central bank, Bank Negara, and by the issue of shares by the sovereign wealth fund of the Government of Malaysia, Khazanah Nasional Berhad (Chester Tay/The Edge Financial Daily May 25, 2018).

At the height of the 1MDB allegations against PM Najib Razak in July 2015, Malaysia's foreign reserves dived by almost 5% in two weeks as the central bank unsuccessfully attempted to maintain the ringgit at RM 3.8 per US dollar. And the sharp decline in foreign reserves coincided with the onset of publicity over 1MDB's troubles. After the 1MDB expose, in early-July 2015 (early-3Q 2015) led to a larger-than-expected ringgit depreciation 60 days later in September 2015 (late 3Q 2015)—in the same quarter, massive capital outflows were observed.

Table 1. Capital Flows After Key Political Events

	Date of Commencement	Portfolio Capital Flows (after 60-day post-event window)
Event 1: GE13	5 May 2013/mid-2Q 2013	3Q 2013: RM 9,662 million
Event 2: Imprisonment of Anwar Ibrahim	7 March 2014/end-1Q 2014	2Q 2014: RM 6,321 million
Event 3: 1MDB exposé	2 July 2015/early-3Q 2015	3Q 2015: RM 24,431 million
Event 4: appointment of new Central Bank Governor	27 April 2016/early-2Q 2016	2Q 2016: RM 70 million
Event 5: GE14	9 May 2018/mid-2Q 2018	3Q 2018: RM 864 million

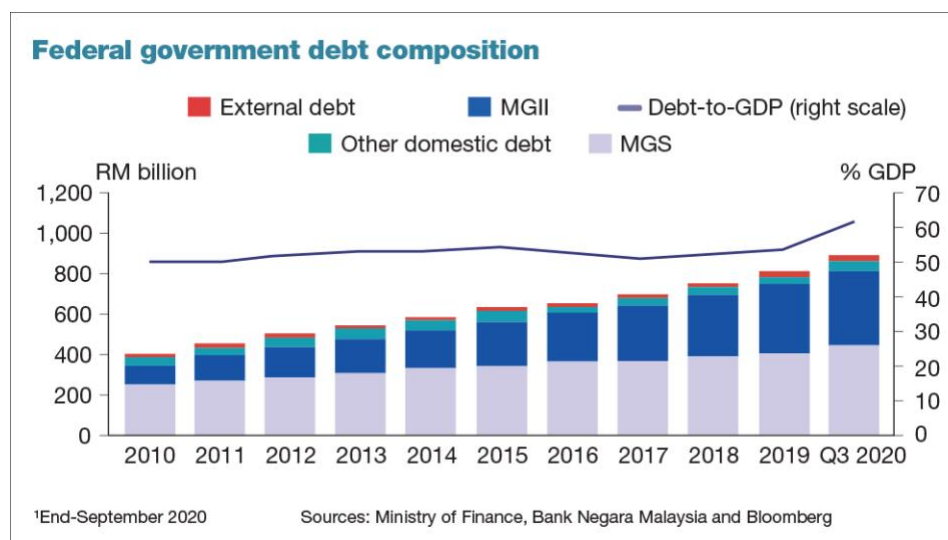
Source: (Hui, 2021)

Malaysia's foreign reserves now stand below US\$100 billion, raising concerns over its ability to defend against further currency shocks. Financial analysts also suggest that capital outflows will continue leading to further ringgit weakening. The ringgit's diminished value has an impact on Malaysians' purchasing power. If the prices of Malaysian exports decline more than its import prices, people will end up paying more for goods. In 2015, the inflation recorded was 2.1% and it increased to 3.8% in 2017 (O'Neill, 2022).

To compound inflationary pressures, Malaysians had to deal with two other domestic policies that further impact cost of living: removal of fuel subsidies in December 2014 and

the implementation of a Goods and Services (GST) 6% tax in April 2015. GST is the Malaysian government policy aimed to reduce its dependence on revenue from oil and as a sustainable source of income to the government (Alappatt & Junaid M. S, 2014). However, during the implementation of GST, many people felt heavy burden following the increase of goods and services' prices, while the income and purchasing power were stagnant. This implementation burdened many people regardless urban or rural community.

Then there is the added pressure of private household debt. Malaysia has the highest ratio of household debt to GDP in the developing world. Najib's government has already burdened Malaysia with an increase to RM916.12 billion since his last tenureship. Since Najib governed in 2009, Malaysia's debt has grown at an average of 10% a year. According to the chart shown below, there was a gradual increase in which year from 2010 until 2020. At 54.8 % of gross domestic product, the country's public debt is one of the highest in Asia.



1MDB has incurred a large sum of public debt which cannot be repaid. 1MDB alone has an insolvent amount of RM 31 billion (\$7.8 Billion USD), alone (Raghu & Shukry,

2018). Regardless of 1MDB, Malaysia's public debt is totalled to a sum of RM 1 trillion (\$251 Billion USD) (Shukry & Jamrisko, 2018). Therefore, as a communal society, they are partially obliged to play a part in solving the national debt issue, it has become a shared responsibility to relinquish the enormous debt for the nation. This is backed by the fact that if the country has a huge amount of public debt, it has the potential to affect the lives of the people directly or indirectly in the nation, not necessarily the government alone. It will increase the cost of living and the economic slowdown will inevitably limit domestic spending as Malaysian households are already significantly over-leveraged in debt. Having a high public debt will affect the living cost of the people in many aspects especially to families in the middle class. For example, like those who are already struggling to pay rent (Smrčka, & Arltová, 2014). Generally, the people's poor living costs will be burdened with even more expenses that they have to pay. This effect is further seen in families with very low disposable income.

As it is, Malaysia had already failed to reach the 10th Malaysia Plan goal of 6 per cent annual growth each and every year from 2011 to 2015. Looking ahead, 2015 estimates suggested difficulties in meeting the expected 5 to 6 per cent average annual growth rate over the next few years. Meanwhile, Malaysia's economic growth for 2015 was already beginning its downward climb, declining from 5.6 per cent in the first quarter to 4.9 per cent by the end of the second quarter. Overall, 2015 proved to be a bad year for the Malaysian economy. GDP growth for the year ended up reaching just 4.7 per cent, a significant reduction from the 6 per cent recorded in 2014, which was the fastest pace in four years. There were few signs of things getting better anytime soon. The World Bank, in its October 2015 update, said it expected Malaysia to close to just 4.7 per cent for 2016 before picking up mildly towards 5.0 per cent in 2017, citing downside risks from China's continued economic slowdown, an

impending U.S. interest rate hike, weak commodity prices and moderating domestic demand.

Suffice it to say, those were far below the targets required under the 11th Malaysia Plan.

9.0 Conclusion

When 1MDB's debt troubles first emerged, it was largely framed as a political issue. But 1MDB was quickly re-framed as an economic issue as more serious allegations emerged amid the ringgit's rapid decline and the worsening global economy; the fallouts of which would directly impact both investor and consumer alike. This paper has looked at the history of 1MDB until the moment the scandal was exposed. It shed some light on the political aspect of the issue then continued with the findings on the 1MDB scandal, focusing on economical perspective. Then it continued with the economic effects of the scandal on the country and its citizens. In conclusion the impact of these crisis was clearly evident on the country's politics, economics, society and foreign policy.

The 1MDB swindle would not have happened had basic principles of public and corporate governance been followed, to include the use of proper checks on how 1MDB's funds were being handled. Such checks do exist in Malaysia. They govern the dealings of the Khazanah Nasional Berhad, the country's government-run sovereign wealth fund. But 1MDB was exempted from all such controls, and no corrective measures were taken despite repeated signs of abuse. Although some 1MDB board members tried to instruct management to avoid certain deals, the warnings went unheeded, and the board never stepped in forcefully enough to stop the misdeeds.

All evidence points to 1MDB having been deliberately set up for fraudulent manipulation, with complicity from the very top. Without such complicity, 1MDB's massive losses could not have happened. The global financial system was an accomplice too. International banks moved and stored stolen funds. It is no secret that big banks have engaged in such practices for a long time. Some have paid heavy fines, but these have obviously not been enough to put a stop to banks' involvement in money laundering. Meanwhile, individual bank officers are generally not held criminally liable, which may be the problem.

The 1MDB scandal, on its Malaysian side at least, also presents a classic example of a cover-up and the suppression of information through direct interference in the operations of enforcement and policing agencies. The aim was to stop these agencies from acting against crimes, and the methods included replacing key officials while intimidating others into submission. Malaysia has laws on the books with which to charge those implicated in fraud and financial offenses, but for that to happen, the political pressures that have so far prevented the rule of law from taking its course will have to be lifted.

From the international side, if money laundering, especially of ill-gotten gains from developing countries such as Malaysia, is to be stopped, banks and others who accept funds from overseas must be made to do much better due diligence. An example is Goldman Sachs' mismanagement of funds, and purposeful lack of oversight, alongside the general stability and qualities that shape sovereign wealth funds. Sovereign wealth funds are not an inherently bad source of economic development, but space for improvement, persists. To address these limitations, in 2006, The Santiago Principles were adopted, outlining 24 generally accepted practices endorsed by members of the International Forum of Sovereign Wealth Funds. These principles established a critical framework for the use of sovereign wealth funds. Since the principles were adopted, researchers have further explored ways to address measures for governance, accountability and transparency through scoreboards and management frameworks. In general, Asian funds have performed to the standards of the Santiago Principles, except for Malaysia, Vietnam, and Brunei which performed below the global average in 2015. An area of future research, therefore, lies in monitoring compliance with international standards.

This scandal should serve as an example in tackling mismanagement and supporting systemic improvement in tracking the progress of sovereign wealth funds. When a government decides to cover-up a scandal instead of investigating it, punishing the guilty

offenders, and initiating reforms to address its causes, the dire consequences are predictable: corruption scandals, like cancer, will proliferate because corrupt individuals and organisations in the country can continue to misbehave with impunity and encourage other citizens to follow suit. Covering up corruption scandals will not make them disappear but guarantee their recurrence.

In conclusion, the paper has achieved its objectives of understanding the 1MDB scandal and economical corruption done by governments and institutions. Currently, RM10.84 billion on 1MDB debt has been paid this year and there is RM32.08 billion left to pay. It continues to worry citizens as to what the money could have been used for the development of the country, now their taxes money is being spent on paying debt on it. However, with the win of Pakatan Harapan in GE15 election, and as Anwar bin Ibrahim as the prime minister and the finance minister, the country had gotten a new hope that Malaysia will be stabilized again.

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